Next Three Decades: CSSs Make State Finances Subservient to Centre

The 1970s witnessed a massive transformation of fiscal relations between the Centre and the states.

To reform the transfer of developmental/plan resources to the states, it was decided in 1969 to establish a formula (which came to be known as the Gadgil Formula) in place of making individual project-based grants and loans from the Centre. There were thousands of individual budget lines in operation at the end of the Third Plan. The system of intergovernmental development resource transfers was truly in a mess.

Finance Commission transfers, which governed non-Plan transfers, were basically formula-driven. With the adoption of the Gadgil Formula, the distribution/allocation of Plan resources was also made formula-driven. It was a good set of fiscal reforms designed and recommended by technocrats led by D.R. Gadgil, deputy chairman of the Planning Commission. It brought a lot of objectivity, transparency and non-discretion to the system of transferring fiscal resources from the Centre to the states.

However, there was a large side-effect of the new system of Plan transfers that undermined states' finances in ensuing decades.

The Gadgil Formula stipulated the transfer of a state's share (for all states except some minor special category states), termed normal central assistance (NCA), as 30 per cent grant and 70 per cent loan. This instituted a systemic lending-borrowing relationship between the Centre and the states. The same formula (70 per cent loan and 30 per cent grant) was used to transfer multilateral and bilateral loans and grants. The loans provided under NCA arrangements became the primary means of borrowing for states over the years.

In addition to these two sources of loan financing (Plan transfers in the form of NCA and funds under externally aided projects), the Central government continued with another mode of loan financing. Savings from